

IN THE SUPREME COURT OF INDIA

Vivaan Sharma vs Varun Gupta & Ors. ... on 3 March, 2021
(2023) 2 ALD 640, AIR 2022 SC 924
Bench: Vipul M. Pancholi, J. and D.Y. Chandrachud, J.

JUDGMENT

Vipul M. Pancholi, J.

1. This appeal arises out of a civil suit for specific performance of a lease-cum-sale deed of a commercial unit. The plaintiff/appellant seeks execution and registration of the sale certificate under Order 39 Rule 1 and 2 of the Code of Civil Procedure, 1908 (CPC) in respect of property situated in Kochi.
2. The respondent/vendor contended that time was of the essence and the appellant failed to tender the balance consideration of Rs. 4.5 Crores within the stipulated 90 days, invoking forfeiture under Section 74 of the Indian Contract Act, 1872.
3. Mr. Rohatgi, learned Senior Counsel for the appellant, argued that in contracts relating to immovable property time is not ordinarily of the essence, and demonstrated continuous readiness and willingness under Section 16(c) of the Specific Relief Act, 1963.
4. Counsel relied upon (2020) 13 SCC 285 in the case of Sughar Singh v. Hari Singh, and upon (2020) 6 SCC 298 in the case of Lourdu Mary Margaret v. Reni Chellam, holding readiness and willingness must be gathered from contemporaneous conduct.
5. Having examined the bank statements and escrow deposits, this Court holds the appellant satisfied the test of readiness and willingness under Section 16(c) of the Specific Relief Act, 1963.
6. The second appeal is dismissed; however, the plaintiff is granted refund of earnest money with interest at 9% per annum.

D.Y. Chandrachud, J. - I agree.